SK Gas (018670 KS)

Profit fundamentals built on fuel optionality

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We initiate coverage on SK Gas at BUY and a target price of W340,000.

SK Gas is Korea's leading LPG import/distribution firm. It procures LPG from overseas and sells it in domestic and global markets. Sourced LPG is distributed to dealerships, petrochemical firms, and industrial clients, and is also utilized for international trading. The firm recently expanded its business area to encompass LNG infrastructure and power generation. LNG is stored and discharged via Korea Energy Terminal (KET), while Ulsan Gas Power Station (GPS; 1.2GW capacity) generates electric power using both LNG and LPG. As power generation and LNG infrastructure are added to LPG procurement and sales, SK Gas's channels for generating profits have expanded.

We highlight three investment points. First, the profit foundation of the core LPG business remains solid. Although quarterly earnings are highly volatile due to time lags in profit/loss recognition between physical transactions and derivatives, annual profit generation capacity is maintained based on domestic/overseas sales and trading. After posting losses in 2Q26, we expect LPG profits to recover in 2H26 as price-cost time lags ease.

Second, profit fundamentals rose a notch higher on the operation of Ulsan GPS. As the company can utilize both LNG and LPG, it can select more cost-effective fuel depending on relative prices, while also integrating with existing LPG trading and KET storage infrastructure. SK Gas can choose whether to sell the energy source domestically, trade it overseas, or use it for power generation. Based on fuel optionality and procurement competitiveness, we expect power generation earnings to remain stable.

Third, cash deployment has changed following the large-scale investment phase. As investments concentrated in Ulsan GPS and KET enter the operational stage, we expect the capex burden to ease and cash generation capacity to expand. Since the existing shareholder return policy will remain valid through this year, details regarding expanded dividends or treasury share utilization in the subsequent policy could serve as additional upside catalysts for enterprise value.

Ulsan AIDC is an additional long-term growth option. As Ulsan AIDC begins phased operations from 2027, regional demand for power and LNG will likely expand. We focus on the likelihood that utilization of LNG/power generation infrastructure already established by SK Gas, including Ulsan GPS and KET, will rise going forward.

BUY (I)

Target price	W340,000 (I)
Previous target price	-
Current price (Sep 09)	W242,500
Upside potential	40%

Market cap (Wbn)	2,248
Shares outstanding	9,269,244
Avg daily T/O (2M, Wbn)	3
Avg daily volume (2M, shrs)	13,752
52-week high/low (won)	290,000 / 198,000
Foreign ownership (%)	5.72%
Dividend yield (%)	4.00%
Major shareholders	SK Discovery & other

Stock performance

(%)	1M	3M	12M
Absolute	6.4	14.1	1.3
Relative	(5.6)	31.0	(53.2)
Abs (US$)	12.7	29.1	5.2

Quarterly earnings

(Wbn)	3Q26E	% YoY	% QoQ	Consens	vs consens (%)
Sales	2,772	42.1	19.8	2,362	17.4
OP	117	-32.7	TTB	144	-18.9
Pre-tax net profit	119	-14.2	TTB		
Net profit, CI	96	-5.2	TTB		
OPM (%)	4.2	-4.7 %pt	TTB	6.1	-1.9 %pt
NPM (%)	3.4	-1.8 %pt	TTB		

Note: CI = controlling interest, TTB = turn to black

Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E
Sales	7,096	7,676	10,219	9,600
OP	287	443	425	517
Net profit, CI	194	235	371	327
P/E (x)	8.2	9.5	6.0	6.9
P/B (x)	0.6	0.7	0.7	0.6
EV/EBITDA (x)	10.1	7.7	8.1	6.8
ROE (%)	7.2	8.2	12.1	9.8

Source: Yuanta Securities

For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

1. Annual profitability more important than quarterly gain/loss for LPG trading

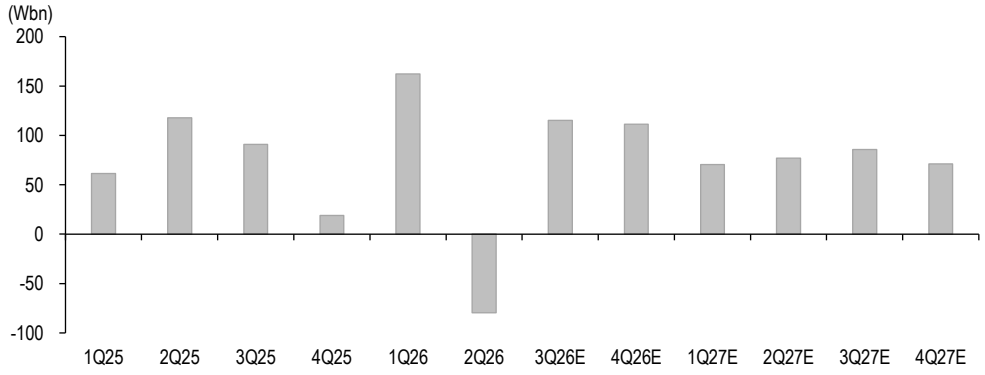
The LPG business involves both physical commodity trading and derivatives transactions. Discrepancies between the timing of physical LPG purchase/sales and the recognition of derivatives valuation gains/losses can cause significant quarterly earnings volatility.

In 1Q26, LPG OP came to W162.3bn and -W79.6bn in 2Q26. In 1Q26, derivatives valuation gains were recognized first amid rising LPG prices, while in 2Q26, high-priced physical inventories were recognized in COGS, moving earnings in the reverse direction. About 70% of the 2Q26 earnings deterioration was likely linked to this recognition timing difference between physical and paper positions.

Added to this was the time lag between international LPG prices and domestic selling prices. As the increase in international prices was not immediately passed through to domestic selling prices, profitability fell in 2Q26. We expect partial margin recovery in 2H26 on international price stabilization.

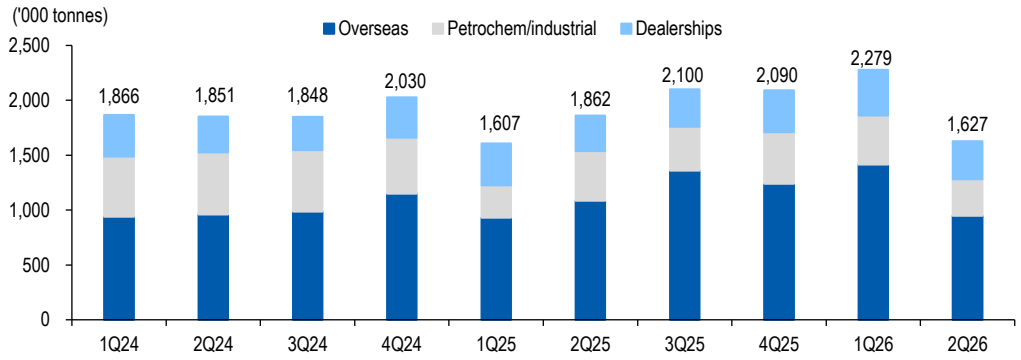
In 2H26, LPG profitability will likely rebound as price-cost time lags ease. We expect overall OP in 3Q26 to turn to profit at W116.8bn. LPG forms the foundation of company-wide profits through domestic/overseas sales and trading, and is expected to maintain an annual OP of around W300bn in 2027.

Quarterly LPG OP forecast



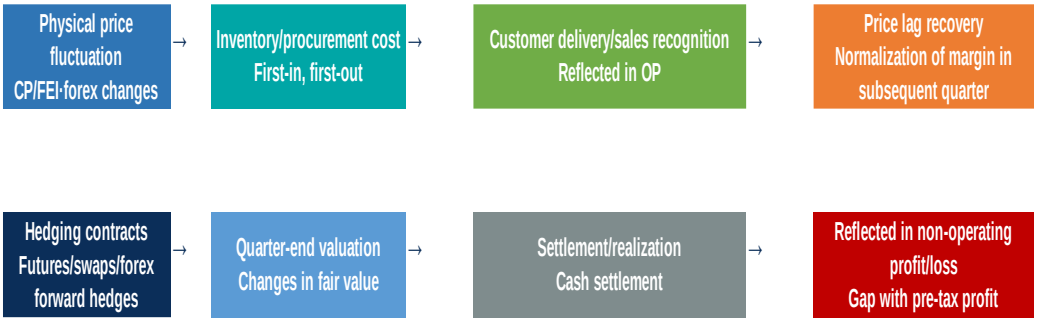
Source: Yuanta Securities

Quarterly LPG sales volume and customer mix



Source: company data, Yuanta Securities

Recognition time lag between physical LPG and derivatives gain/loss



Source: Yuanta Securities

2. Ulsan GPS: the key to 2027 profit growth

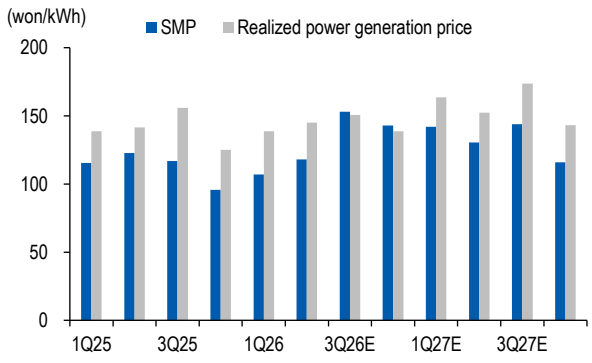
Ulsan GPS has a capacity of 1,212MW on an LNG generation basis and 1,171MW on an LPG generation basis. LNG is imported directly via SK Gas International, and stored/discharged via KET, while LPG is supplied directly by SK Gas.

When relative prices between LNG and LPG shift, fuel selection changes accordingly. During periods when LNG is relatively cheaper, the share of LNG usage is expanded, and when LPG economic viability is higher, LPG can be consumed instead.

SK Gas combines this with its existing LPG trading and storage capabilities. The same LPG can be sold to domestic customers, traded internationally, or deployed as GPS fuel, while LNG can bridge storage and power generation. The core of this structure is the optionality to respond to raw material price movements.

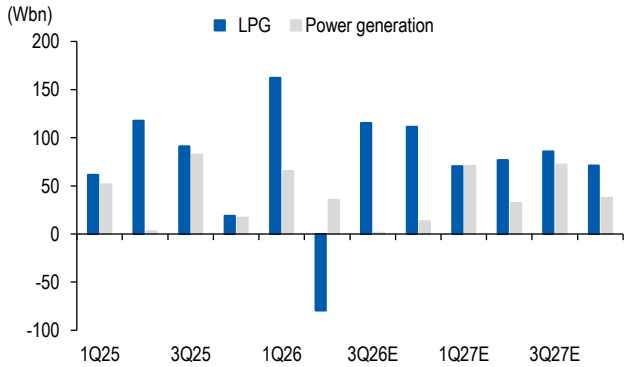
This business structure is expected to fully materialize in 2027 earnings. Power generation sales will likely increase by 4.2% YoY in 2027, while OP will likely surge from W116bn to W212.8bn. Electricity prices are assumed to be lower compared to 2026, with power generation profitability likely to improve on fuel selection and procurement competitiveness.

SMP vs realized power generation selling price



Source: Yuanta Securities

OP forecast by business division



Source: Yuanta Securities

Value chain connecting LPG to LNG and power generation



Source: Yuanta Securities

3. From investment to recovery, shareholder return is the next variable

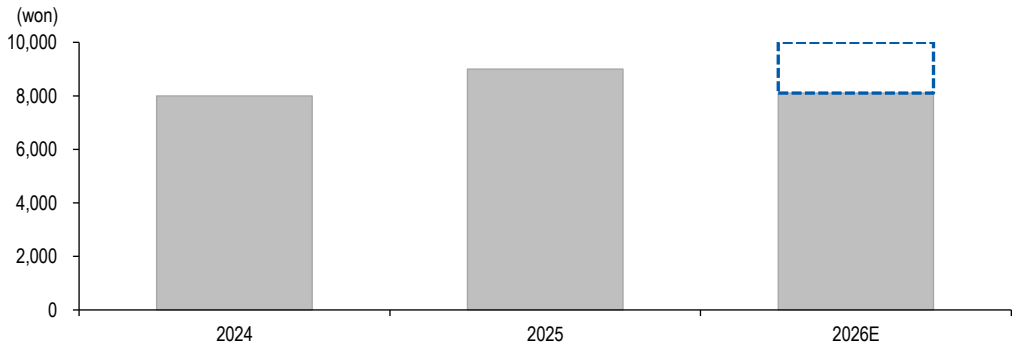
Massive investments centered on Ulsan GPS and KET have entered the operational stage. As new assets begin generating profit, SK Gas's cash flow is expected to shift from investment execution to capital recovery.

Ulsan GPS has already become a key pillar of company-wide OP, and KET is also being utilized as LNG storage/discharge infrastructure. As capex pressure eases going forward, the room to use cash generated from operations should also expand.

Shareholder return can become the next variable. The existing shareholder return policy will be applied through 2026. The company is expected to unveil its mid- to long-term strategy as well as the next shareholder return policy at the October CEO Investor Day.

At a time of increased cash generation capabilities following the end of a large-scale investment cycle, more specific policies regarding dividend expansion or treasury share utilization could provide a further upside catalyst for shares.

DPS forecast



Source: company data, Yuanta Securities

4. Profit recovery from 3Q26, strong fundamentals in 2027

We estimate 3Q26 consolidated sales at W2.77tn (+42.1% YoY) and OP at W116.8bn (-32.7% YoY, OPM 4.2%). LPG profits are set to recover as time lags between physical procurement costs and domestic selling prices, which weighed on the LPG business in 2Q26, ease. Ulsan GPS's profit contribution will likely remain strong.

For 2026, we estimate consolidated sales at W10.22tn (+33.1% YoY) and OP at W425.3bn (-3.9% YoY, OPM 4.2%). Surging 1H26 LPG prices and recognition lags between physical products and derivatives will likely expand annual earnings volatility.

In 2027, we forecast consolidated sales at W9.6tn (-6.1% YoY) and OP at W516.9bn (+21.5% YoY, OPM 5.4%). The decline in sales is more due to adjustments in selling prices from falling international LPG prices, rather than LPG volume reductions. In fact, LPG sales will likely fall from W9.33tn in 2026 to W8.68tn in 2027, while power generation sales will likely rise from W886.6bn to W923.9bn. LPG OP is expected to remain at around W300bn in 2027, while expanding Ulsan GPS OP will likely push overall OPM from 4.2% in 2026 to 5.4% in 2027.

The key for 2027 is profit growth rather than sales growth. Top line is expected to contract on falling LPG prices, but core LPG profits should remain intact, while the growing contributions of Ulsan GPS will likely drive double-digit growth in company-wide OP.

SK Gas: earnings forecast **(Wbn)**

	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E	2025	2026E	2027E
Sales	**1,827.0**	**1,880.4**	**1,950.2**	**2,018.7**	**2,635.3**	**2,313.0**	**2,771.9**	**2,499.0**	**7,676.3**	**10,219.2**	**9,600.4**
LPG	1,596.5	1,783.8	1,695.3	1,840.7	2,375.0	2,136.0	2,530.6	2,291.0	6,916.2	9,332.6	8,676.6
Power generation	230.6	96.6	254.9	178.0	260.3	177.0	241.3	208.0	760.1	886.6	923.9
% YoY											
Sales	*5.9%*	*13.9%*	*12.5%*	*1.7%*	*44.2%*	*23.0%*	*42.1%*	*23.8%*	*8.2%*	*33.1%*	*-6.1%*
LPG	*-7.5%*	*8.5%*	*0.5%*	*-0.7%*	*48.8%*	*19.7%*	*49.3%*	*24.5%*	*0.1%*	*34.9%*	*-7.0%*
Power generation		*1327.9%*	*443.5%*	*35.1%*	*12.9%*	*83.2%*	*-5.3%*	*16.8%*	*309.9%*	*16.6%*	*4.2%*
OP	**112.9**	**120.7**	**173.5**	**35.8**	**227.7**	**-43.9**	**116.8**	**124.8**	**442.8**	**425.3**	**516.9**
% YoY	*51.3%*	*157.0%*	*303.3%*	*-70.8%*	*101.7%*	*-136.4%*	*-32.7%*	*248.5%*	*54.2%*	*-3.9%*	*21.5%*
LPG	61.5	117.8	91.1	18.9	162.3	-79.6	115.4	111.3	289.3	309.4	304.1
Power generation	51.4	2.9	82.4	16.9	65.4	35.7	1.5	13.4	153.6	116.0	212.8
OPM (%)	**6.2%**	**6.4%**	**8.9%**	**1.8%**	**8.6%**	**-1.9%**	**4.2%**	**5.0%**	**5.8%**	**4.2%**	**5.4%**
LPG	3.9%	6.6%	5.4%	1.0%	6.8%	-3.7%	4.6%	4.9%	4.2%	3.3%	3.5%
Power generation	22.3%	3.0%	32.3%	9.5%	25.1%	20.2%	0.6%	6.5%	20.2%	13.1%	23.0%
Pretax profit	**113.8**	**60.2**	**138.7**	**1.5**	**358.1**	**-42.6**	**119.0**	**112.1**	**314.2**	**546.7**	**518.8**
Net profit, CI	92.9	57.3	100.9	-15.8	259.8	-36.5	95.6	52.4	235.3	371.3	326.8

Note: CI = controlling interest
Source: Yuanta Securities

5. Initiate coverage at target price of W340,000

We initiate coverage on SK Gas at BUY and a target price of W340,000, derived by applying a target P/B of 0.9x to 2027E BPS of W378,619.

Our target P/B of 0.9x reflects the expanding profit contribution from Ulsan GPS and improved cash generation following the heavy investment phase. In 2027, with OP expected to grow by 21.5% and FCF likely expanding, the transition of existing invested assets into actual earnings and cash should accelerate.

Catalysts for further valuation upside include: 1) a strengthened shareholder return policy; 2) the expansion of Ulsan GPS power generation earnings; 3) further confirmation of LPG/LNG optionality profits; and 4) increased utilization of existing energy infrastructure including Ulsan AIDC.

Ulsan is a concentrated base for SK Gas's energy infrastructure including LPG/LNG procurement networks, KET, and Ulsan GPS. As Ulsan AIDC begins commercial operations in stages from 2027, the utilization of stable regional power and LNG infrastructure will rise. SK Multi Utility will manage initial power supply, and we focus on the potential for additional deployment of existing energy assets like Ulsan GPS and KET during subsequent data center capacity expansions going forward. Our current earnings estimates and target price are derived based on the existing LPG and power generation businesses, while we view AIDC integration as an added growth option.

SK Gas: target price calculation

	Value	Note
2027E BPS (won)	378,619	(a) 2027E BPS
Target P/B (x)	0.9	(b) Historical valuation peak
Value per share (won)	340,757	(c)=(a)*(b)
Target price (won)	**340,000**	
Current price (won)	242,500	Sep 9, 2026 closing price
Upside (%)	**40**	

Source: Yuanta Securities

SK Gas: valuation **(Wbn, $mn)**

		SK Gas	POSCO International	E1	SK Innovation	DORIAN	ATMOS ENERGY	BW LPG
Market cap		**2,248**	10,204	675	25,950	2,288	28,402	3,808
Sales	2025	**7,676**	32,374	10,393	80,296	482	4,703	3,582
	2026E	**10,219**	34,715	15,410	104,117	640	5,142	1,259
	2027E	**9,600**	37,323	15,408	95,386	417	5,509	791
	2028E	**9,733**	39,838	15,067	95,408	324	6,014	729
OP	2025	**443**	1,165	324	-270	210	1,560	348
	2026E	**425**	1,453	165	8,733	415	1,873	808
	2027E	**517**	1,598	449	4,547	183	2,145	353
	2028E	**523**	1,697	453	4,385	86	2,426	273
OPM (%)	2025	**5.8%**	3.6%	3.1%	-0.3%	43.6%	33.2%	9.7%
	2026E	**4.2%**	4.2%	1.1%	8.4%	64.8%	36.4%	64.2%
	2027E	**5.4%**	4.3%	2.9%	4.8%	43.8%	38.9%	44.6%
	2028E	**5.4%**	4.3%	3.0%	4.6%	26.7%	40.3%	37.5%
Net profit, CI	2025	**235**	614	105	-3,348	194	1,199	242
	2026E	**371**	924	155	2,911	338	1,414	698
	2027E	**327**	1,110	145	2,014	161	1,556	302
	2028E	**335**	1,258	148	2,084	89	1,740	249
P/E (x)	2025	**8.8**	14.2	5.5	-	7.5	22.9	-
	2026E	**6.1**	11.0	4.4	8.9	6.8	20.1	5.5
	2027E	**6.9**	9.2	4.7	12.9	14.2	18.3	12.6
	2028E	**6.7**	8.1	4.6	12.4	25.8	16.3	15.3
P/B (x)	2025	**0.7**	1.3	0.2	0.8	1.3	2.0	-
	2026E	**0.7**	1.3	0.3	0.9	1.6	-	1.8
	2027E	**0.7**	1.2	0.2	0.9	1.7	-	1.8
	2028E	**0.6**	1.1	0.2	0.8	1.8	-	1.8

Note: CI = controlling interest, market cap as of Sep 9, 2026
Source: Bloomberg, Yuanta Securities

SK Gas (018670 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Sales	**7,096**	**7,676**	**10,219**	**9,600**	**9,733**
Cost of sales	6,488	6,889	9,379	8,672	8,799
Gross profit	608	787	840	929	934
SG&A	321	344	415	412	411
Operating profit	**287**	**443**	**425**	**517**	**523**
EBITDA	451	705	686	782	799
Non-operating profit	-28	-129	121	2	6
Forex gains	-68	8	68	69	70
Net interest income	-46	-108	-111	-112	-108
Equity-method gains	-65	-88	90	0	0
Other	152	60	74	45	45
Net prof before income tax	260	314	547	519	530
Income tax	67	80	138	130	132
Net profit from continuing ops	193	234	409	389	397
Net profit from discontinued ops	0	0	0	0	0
Net profit	193	234	409	389	397
NP for controlling interest	**194**	**235**	**371**	**327**	**335**
Total comprehensive income	254	217	418	398	406
Total comprehensive income, CI	254	218	420	400	409

Statement of financial position

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Current assets	**2,465**	**2,513**	**2,935**	**3,168**	**3,345**
Cash & cash equivalents	585	626	411	796	940
Accounts receivables & other	957	911	1,231	1,157	1,173
Inventory	496	502	668	627	636
Non-current assets	5,139	5,519	5,727	5,673	5,764
Tangible assets	2,533	2,683	2,683	2,728	2,811
Investment in affiliates	991	976	1,299	1,220	1,237
Other investment assets	202	426	336	319	323
Total assets	**7,604**	**8,032**	**8,662**	**8,841**	**9,109**
Current liabilities	2,021	1,895	2,145	2,084	2,097
Accounts payable & other	726	660	879	826	837
ST financial liabilities	532	580	580	580	580
Liquid LT liabilities	599	560	560	560	560
Non-current liabilities	2,795	2,992	3,039	3,027	3,030
LT financial liabilities	709	749	749	749	749
Debentures	908	998	998	998	998
Total liabilities	**4,816**	**4,887**	**5,184**	**5,112**	**5,127**
Equity, controlling interest	2,779	2,928	3,224	3,413	3,604
Paid-in capital	46	46	46	46	46
Capital surplus	195	197	197	197	197
Retained earnings	2,495	2,660	2,950	3,186	3,432
Equity, non-controlling interest	9	216	254	316	378
Total equity	**2,788**	**3,145**	**3,478**	**3,729**	**3,982**
Net debt	**2,947**	**2,990**	**3,087**	**2,731**	**2,581**
Total debt	3,907	4,018	4,026	4,024	4,025

Cash flow statement

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	**373**	**673**	**330**	**745**	**669**
Net profit	193	234	409	389	397
Depreciation & amortization	155	250	250	255	266
Forex gains	12	-12	-68	-69	-70
Affiliate investment gains	65	88	-90	0	0
Increase in net working cap	12	-24	-384	26	-72
Other	-63	137	213	144	147
Investing cash flow	**-163**	**-547**	**-628**	**-232**	**-410**
Investment	-75	-239	-233	96	-21
Increase in tangible assets	-351	-297	-250	-300	-350
Decrease in tangible assets	2	3	0	0	0
Other	262	-14	-145	-28	-40
Financing cash flow	**-147**	**-81**	**-174**	**-164**	**-189**
ST financial liabilities	-166	-1	9	-2	0
Debenture/LT financial liabilities	1,147	112	0	0	0
Equity	0	2	0	0	0
Cash dividend	-72	-72	-81	-90	-90
Other cash flow	-1,056	-121	-102	-72	-100
Consolidation adj and other	27	-3	257	36	75
Increase in cash & equivalents	**91**	**41**	**-215**	**385**	**144**
Beginning cash & equivalents	494	585	626	411	796
Ending cash & equivalents	585	626	411	796	940
NOPLAT	287	443	**425**	**517**	**523**
FCF	**22**	**376**	**80**	**445**	**319**

Valuation

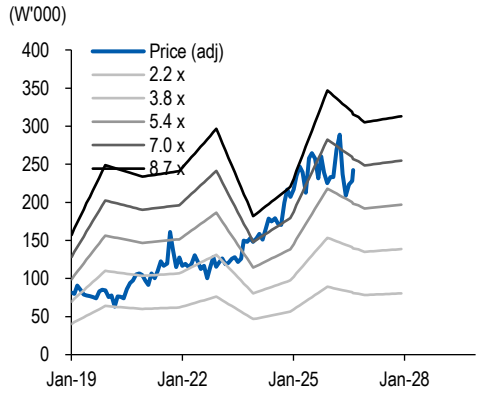
FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS (won)	21,020	25,453	40,095	35,260	36,186
BPS (won)	309,598	325,701	357,680	378,619	399,792
EBITDA/shr (won)	48,825	76,264	74,104	84,412	86,176
SPS (won)	768,766	830,550	1,103,608	1,035,730	1,050,064
DPS (won)	8,000	9,000	10,000	10,000	10,000
P/E (x)	**8.2**	**9.5**	**6.0**	**6.9**	**6.7**
P/B (x)	**0.6**	**0.7**	**0.7**	**0.6**	**0.6**
EV/EBITDA (x)	**10.1**	**7.7**	**8.1**	**6.8**	**6.5**
P/S (x)	**0.2**	**0.3**	**0.2**	**0.2**	**0.2**

Key financial data

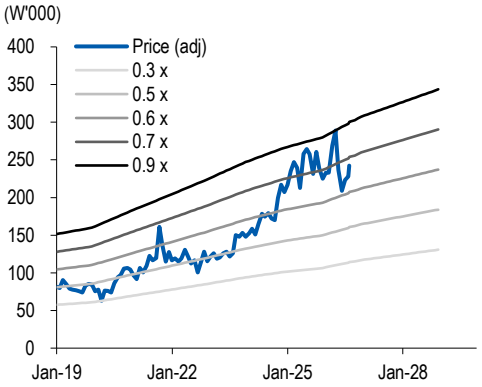
FY ends Dec	2024A	2025A	2026E	2027E	2028E
Sales (% YoY)	**1.5**	**8.2**	**33.1**	**-6.1**	**1.4**
Operating profit (%YoY)	**-5.4**	**54.2**	**-3.9**	**21.5**	**1.3**
Net profit, CI (%YoY)	**-38.7**	**21.2**	**57.8**	**-12.0**	**2.6**
Gross margin (%)	8.6	10.3	8.2	9.7	9.6
Operating margin (%)	**4.0**	**5.8**	**4.2**	**5.4**	**5.4**
Net margin, CI (%)	2.7	3.1	3.6	3.4	3.4
EBITDA margin (%)	6.4	9.2	6.7	8.2	8.2
ROIC (%)	6.5	9.5	9.5	10.0	10.3
ROA (%)	2.8	3.0	4.4	3.7	3.7
ROE (%)	**7.2**	**8.2**	**12.1**	**9.8**	**9.6**
Debt-to-equity (%)	172.7	155.4	149.0	137.1	128.8
Net debt-to-equity (%)	106.0	102.1	95.8	80.0	71.6
OP/financing cost (x)	3.7	3.2	3.0	3.6	3.5

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities

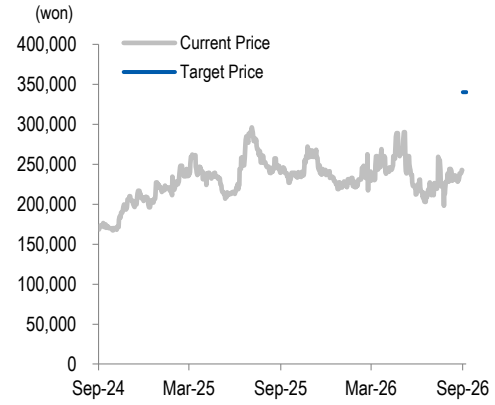
P/E band chart



P/B band chart



SK Gas (018670 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/09/11	BUY	340,000	1 yr		
2026/09/10	BUY	340,000	1 yr		

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

Rating	Share (%)
STRONG BUY	0
BUY	96.7
HOLD	3.3
SELL	0
Total	100.0

Note: As of Sep 10, 2026 Excluding reports written or published by overseas affiliates

Appendix: Important disclosures

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I/We, as the research analyst/analysts who prepared this research report, do hereby certify that the views expressed in this report accurately reflect my/our personal views about the subject securities discussed in this report.

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- **Stock ratings** include an Investment Rating (Strong Buy, Buy, Hold, Sell) based on the expected absolute return of a stock over the next 6 -12 months.
- **- Strong Buy:** Expected to return 30% or more
  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
- **Sector ratings** suggest 6 to 12 - month forward investment weighting of a given sector compared to its market capitalization weighting.
  - Overweight: Investment weighting is higher than the market capitalization weighting
  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

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